

DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA



LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)

Addressee:	Long-term insurers		Reference:	10/17/1 & 10/7/2/2/1 &10/7/1/8B
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1 st	1 August 2003	1 August 2003	140.A.i (LT)	Withdrawn
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3 rd				

PRESCRIBED REQUIREMENTS FOR THE CALCULATION OF THE VALUE OF THE ASSETS, LIABILITIES AND CAPITAL ADEQUACY REQUIREMENTS ("REQUIREMENTS") OF LONG-TERM INSURERS

1. Purpose of this directive

The purpose of this directive is to clarify some of the conditions contained in sections 29 to 31 of the Insurance Amendment Act, 2003 ("Act"), Schedule 3, the Notice on the Prescribed Requirements for the Calculation of the Value of Assets, Liabilities and Capital Adequacy Requirement (CAR), and relevant practices the Financial Services Board will consider.

This directive also states the provisions in terms of which the insurer may apply for relaxation of the relevant requirements and the conditions that will be considered by the Registrar in considering applications for such relaxations.

2. Background

The Insurance Amendment Act, 2003 (Act No. 17 of 2003), *inter alia* repeals Schedule 2 (previously known as "prescribed valuation method") and replaces Schedule 3 of the Long-term Insurance Act, 1998 (Act No. 52 of 1998).

Schedule 3 of the Long Term Insurance Act, 1998, sets out the method of calculating the value of an insurer's assets, liabilities and capital adequacy requirements for purposes of maintaining a financially sound condition.

In terms of paragraph 2 of Schedule 3 the values of assets, liabilities and the capital adequacy requirement shall be deemed to have been calculated in terms of that

Schedule, if the requirements set out in that Schedule and the Requirements prescribed by the Registrar, after consulting the Actuarial Society of South Africa, have been complied with in making the calculations. This method of valuation will now be known as the Statutory Valuation Method (SVM).

These Requirements are based on PGN104 (May 2001), a professional guidance note of the Actuarial Society of South Africa (ASSA). The principles of PGN104 were incorporated into the Requirements whilst the detailed calculations will be prescribed by ASSA in guidance notes. After the implementation of the Requirements, ASSA may issue a new version of the guidance note, in consultation with the Registrar, to give further advice to actuaries. For instance, in the calculation of the capital adequacy requirement, the Requirements mention the risks that should be taken into account by the insurer. The actual method of quantifying these risks will be specified by ASSA in the relevant guidance note.

3. Maintenance of financially sound condition of long-term insurers

In terms of Section 29 of the Act, a long-term insurer shall maintain its business in a financially sound condition by having the following:

- Assets providing for its liabilities and capital adequacy requirements (section 30); and
- Assets of a kind and spread in the Republic, other than assets in respect of linked liabilities, which are not less than its liabilities in the Republic which have to be met and the minimum capital adequacy requirement (section 31)

For the purpose of section 30, assets, liabilities and CAR must be valued according to the SVM.

The main differences between the previous Financial Soundness Valuation (FSV) and the SVM are the following:

- The valuation of group undertakings and shares held in holding company (refer to paragraph 7 and 8 of the Requirements); and
- A minimum capital adequacy requirement to establish a minimum for all insurers (refer to par 9.1.3 of the Requirements).

These adjustments are required to provide for exposure risks for the insurer to its group undertakings and holding company. For the purposes of section 30 of the Act, the fair value of the assets must therefore be reduced with the differences between fair value and the value determined by the Requirements. The values determined according to the Requirements must be reported in the annual statutory return (LT2000). The same results would have been achieved if CAR were increased with the amount determined for these exposure risks.

Paragraph 3.1.3 of the Requirements specify that except if the Requirements specifically direct otherwise, assets and liabilities must be valued on the same basis as for the annual financial statements of the insurer. The difference between the values

used for assets and liabilities in the annual financial statements and section 30 of the Act must be disclosed in the LT2000.

For purposes of Section 31 of the Act, the assets must be calculated by reference to their fair value and the liabilities and minimum capital adequacy requirement as set out in Schedule 3.

The differences between the values used for assets in terms of section 31 and the values used in terms of section 30 must be disclosed in the LT2000.

Differences between the values in the annual financial statements and the LT2000 that could occur are further explained in Directive 140.B.i (LT).

To give long-term insurers time to adjust to the new requirements, a clause was added (paragraph 10 of the Requirements) that the Registrar may relax a provision in the Requirements, for such duration and on such conditions as he or she may determine. To ensure that the long-term insurers have adequate time to prepare applications together with the required business plans and documentation, all applications for insurers that will be in a financially unsound position on the date that these Requirements become effective (1 August 2003) should have been lodged by no later than 30 October 2003.

Relaxation will only be considered in order to ensure that the insurer maintains a financially sound condition, either in the short or medium term. Relaxation will not be considered only to improve the financially sound condition of an insurer.

4. Provisions that the Registrar may relax.

4.1 Valuation of group undertakings

Group undertakings need to be valued at net asset value (NAV) as defined in the Requirements.

For listed group undertakings a provision was added to acknowledge 20% of the difference between Fair Value and NAV, to accommodate the unusual interrelation of financial groups in the South African economy. This ensures consistency between shareholdings above and below 20%. A phased-in approach was allowed for over a period of three years.

No phased-in approach was allowed in the case of unlisted group undertakings because the valuation of unlisted group undertakings is not done consistently among insurers.

The definition distinguishes between a regulated financial institution and other institutions.

- The net asset value of regulated financial institutions is calculated as free assets (assets less the sum of its liabilities and its capital requirement) as determined by the regulatory authority concerned.

It further excludes the amount represented by certain special classes of shares, normally represented by the net of the capital, reserves and capital requirement of the typically cell owners. This provision has been added to detect and provide for situations of double or multiple gearing, i.e. where the same capital is used simultaneously as a buffer against risk in two or more legal entities.

- For other group undertakings, the net asset value disregards certain similar items that are not allowed for insurer (refer to clause 4 of Schedule 3), e.g.: goodwill, prepaid expenses, etc.

If an insurer is likely to experience financial soundness problems, due to the write-down of group undertakings' asset values to NAV, the insurer may apply for relaxation.

An insurer may also apply for temporary relaxation, if it is likely to experience financial soundness problems in the short term, due to the items that now have to be disregarded that were previously included in the values of its subsidiaries.

4.2 Investment in the shares of the long-term insurer's holding company.

The details regarding the investment in shares of the long-term insurer's holding company are detailed in Directive 141.

Paragraph 2.7 of Directive 141 explains under what circumstances a long-term insurer may apply for relaxation in terms of the Requirements.

4.3 Minimum Capital Adequacy Requirement (MCAR)

4.3.1 A minimum capital adequacy requirement is introduced for long-term insurers. The amounts were determined as follows:

- (a) R10 million
This is the minimum capital required for any new long-term insurer at registration.
- (b) An amount representing 13 weeks' operating expenses.
This will ensure level playing fields with other similar financial institutions. This will mainly affect long-term insurers that concentrate on writing linked insurance contracts.

The operating expenses will be those reported in item 1.2 in Statement B7. The operating expenses must agree with the financial statements, excluding policy acquisition cost and abnormal items.

4.3.2 The Registrar will consider the following guidelines when an application is received for relaxation of the MCAR:

- (a) An insurer that has no obligations under long-term policies and has agreed with the FSB to cease all new business (i.e. Dormant).

MCAR will be set at nil. The approval will lapse as soon as the insurer assumes obligations under long-term policies.

- (b) An insurer that has obligations under existing long-term policies, but assumes no more new obligations (i.e. in run-off), and
- (i) the business is fully reinsured on an approved basis and the reinsurer cannot cancel the agreement

MCAR as determined in paragraph 9.1.3(b) of the Requirements.

- (ii) the business is not fully reinsured on an approved basis.

MCAR as determined by the Requirements as the highest of paragraphs:

- 9.1.1
- 9.1.2
- 9.1.3 (b)

- (c) An insurer who is registered exclusively for assistance business

MCAR as determined by the Requirements as the highest of paragraph:

- 9.1.1
- 9.1.2
- 9.1.3 (b)

If the **MCAR** as stated above is less than R10 million as required in paragraph 9.1.3 (a) the following consideration will be taken into account as well:

- (i) If the maximum insured amount that the insurer is authorised to write is less than R10 000.00:

MCAR will be the higher of the amount stated in (c) above or the aggregate of the paid up share capital and non-distributed reserves.

- (ii) If the maximum insured amount that the insurer is authorised to write is R10 000.00 or more:

MCAR will be the higher of the amount stated in (c) above or assets less liabilities on the condition that the **MCAR** should be increased to the amount determined in paragraph 9.1 within a period determined by the Registrar.

- (d) Any other insurer

Each application will be considered on relevant information and on the condition that the **MCAR** should be increased over a period determined by the Registrar to the amount determined in paragraph 9.1. Examples may include where an insurer assumes new obligations or temporarily does not assume new obligations and has reinsured all or a large part of the business.

4.4 Other provisions

An insurer may apply for the relaxation of any other provision in the Requirements. Each application will be evaluated based on the relevant information supplied.

5. Application process for the relaxation of a provision

An insurer must apply separately in writing for each of the different conditions as set out in this directive. The application must be made on the relevant form that is available on www.fsb.co.za.

The prescribed application form for the request in terms of paragraph 10 of the Requirements needs to be lodged with the Registrar in advance to ensure that the insurer is financially sound at all times. This directive contains guidelines only, and approval will be subject to the conditions as determined by the Registrar.

Application for relaxation of any of the stated provisions must be made on the relevant application form. There are four different application forms:

- Valuation of group undertakings
- Value of shares in holding company
- Minimum capital adequacy requirement
- Other provisions

A separate application form must be submitted per application.

Each of the application forms must be submitted together with the following:

- Business plan in the prescribed format
- Statement/declaration by the board of directors to the effect that they support the application and that the insurer is and will maintain its business in a financially sound condition in terms of section 29 of the Act.

6. Additional requirements for the valuation of liabilities

The following paragraph is carried over from Directive 116 (Amendment 1/99) of 18 February 1999 because that directive will be withdrawn when the Insurance Amendment Act, 2003 comes into operation.

Where the valuation of net liabilities under unmatured policies is done on the assumption that premiums are payable annually in advance, an appropriate deduction in respect of deferred instalments of premiums must be made, and the same assumption as regards expenses must apply.

7. Information sharing of directive

Copies of this directive are available on the website of the FSB (www.fsb.co.za) and must be brought to the attention of the auditor (appointed under section 19 of the Act) and the statutory actuary (appointed under section 20 of the Act) of every insurer.

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pp REGISTRAR OF LONG-TERM INSURANCE

